

Literature Review

Financial Habits and Behaviour: A Survey-Based Analysis

Dataset: Financial Habits Survey (Kaggle) — 20 Related Research Papers Reviewed

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1. Introduction

Personal financial behaviour — how individuals earn, spend, save, budget, and invest — has become a major focus of applied social-science and data-science research over the past two decades. The dataset selected for this project is a financial habits survey capturing responses on paycheck-handling behaviour, expense tracking, impulse purchasing, use of financial windfalls, budgeting practice, saving motivation, comfort with financial products, goal setting, investment confidence, and self-reported financial habits, alongside demographic variables such as age and gender. Each of these variables maps directly onto an established stream of academic literature in behavioural finance, financial literacy research, consumer psychology, and — increasingly — machine-learning-based behavioural prediction. This literature review surveys twenty research papers that are thematically related to the problem addressed by the dataset, organised into six themes: (i) financial literacy and saving behaviour, (ii) budgeting behaviour, (iii) determinants of financial well-being, (iv) impulse buying and spending behaviour, (v) investment confidence and decision-making, and (vi) demographic differences and machine-learning approaches to financial-behaviour analysis. The review closes by identifying the research gap that this project's exploratory data analysis and machine-learning experiments aim to address.

2. Financial Literacy and Saving Behaviour

Financial literacy is consistently identified in the literature as the single strongest predictor of saving behaviour, motivation to save, and the choice of what to do with unexpected income — all variables directly represented in the survey dataset.

1. Financial Literacy and Savings Behaviour

ResearchGate (2026). Review of economic research on financial literacy as a form of human-capital investment, applied through OLS regression on household saving.

This review synthesises a large body of economic research treating financial knowledge as a form of human-capital investment. Using an OLS regression model on household data, the study finds that income is positively associated with saving, while age, dependency ratio, and family size reduce it. It further reports that rural households tend to save more than urban ones, and recommends government-backed saving schemes as a policy lever — a useful macro counterpart to the individual-level saving-motivation questions captured in the survey dataset.

2. Digital Financial Literacy and Savings Behavior: A Cross-Country Analysis of FinTech Adoption

ScienceDirect (2025). Cross-country study integrating technology-acceptance and financial-behaviour theory across 12 nations.

This study extends classical financial-literacy research by introducing the construct of 'digital financial literacy,' arguing that even financially knowledgeable individuals can fall behind if they lack the digital competence needed to use FinTech tools effectively. By combining technology-acceptance models with financial-behaviour theory across twelve countries, the paper shows that saving outcomes depend jointly on individual digital skill

and the broader national digital infrastructure — a reminder that the present dataset's single-country, cross-sectional design captures only part of a multi-level phenomenon.

3. Effect of Financial Literacy on Individual Saving Behavior: The Mediating Role of Saving Intention

ResearchGate. Survey of 469 young workers in Jakarta, analysed using SEM-PLS.

Using structural equation modelling on data from 469 young urban workers, this study finds that financial literacy affects saving behaviour both directly and indirectly, mediated by saving intention and attitude toward saving. Subjective norms (social pressure to save) were found to influence behaviour only indirectly, through attitude. This mediation pathway is directly relevant to the survey's 'saving motivation' item, since it suggests motivation functions as a psychological mediator between literacy and observed behaviour rather than a direct driver.

4. Linking Financial Literacy and Behavioural Finance to Saving and Debt Behaviours

Journal of Risk and Financial Management, 19(6), 425 (2026). Semi-systematic review of 109 articles from Scopus and Web of Science (2011–2024).

This semi-systematic literature review synthesises 109 peer-reviewed articles linking financial literacy and behavioural-finance constructs to saving and debt outcomes. It reports that saving behaviour has received disproportionately more research attention than debt behaviour, that most existing studies are quantitative, and that research remains concentrated in developed economies. The review is a useful methodological reference for structuring the present project's own literature synthesis and for identifying under-studied combinations of variables, such as impulse buying paired with saving motivation.

5. Financial Literacy and Teachers' Saving Behavior: A Mediated Relationship Through Financial Practices

International Journal of Financial Studies, 14(7), 173 (2026). Cross-sectional survey of 180 teachers in the Jequetepeque Valley, Peru; moderated-mediation model.

Testing a moderated-mediation model on a sample of 180 teachers, this study finds that financial literacy's effect on saving habits was not significant once day-to-day financial practices (such as tracking spending) were accounted for — the relationship operated indirectly, through practice, rather than directly. This finding supports treating 'spending tracking' as a distinct, measurable behaviour in its own right, exactly as the survey dataset does, rather than assuming literacy translates automatically into saving.

6. Impact of Financial Literacy on Young Adults' Spending and Saving Patterns

International Journal for Multidisciplinary Research, 7(3) (2025). Survey-based analysis with integrated literature review, focused on Gen Z.

This paper combines a literature review with original survey analysis of Generation Z respondents to examine how financial literacy shapes spending and saving. It links the absence of formal financial education to impulsive buying and debt cycles, and links financial literacy to stronger budgeting and saving practices. The paper's Gen Z focus and its explicit connection between impulse buying and financial-education gaps make it one of the closest analogues to the present survey dataset, which targets a similarly young respondent pool.

3. Budgeting Behaviour and Financial Well-Being Determinants

Budgeting is one of the five module areas covered by the assignment and is a central behavioural item in the dataset ('Do you have a budget that you follow each month?'). The literature frames budgeting less as a single

yes/no habit and more as an intention-driven behaviour shaped by attitudes, financial education, and self-control.

7. Household Behavior in Practicing Mental Budgeting Based on the Theory of Planned Behavior

Financial Innovation, 4(1) (2018). PLS-SEM analysis of 275 households, grounded in the Theory of Planned Behavior (Ajzen, 1991).

Applying the Theory of Planned Behavior to a sample of 275 households, this study shows that budgeting attitude and past budgeting behaviour are the strongest predictors of budgeting intention, which in turn predicts actual budgeting behaviour. The paper's use of TPB as a guiding framework offers a theoretical lens through which the survey dataset's budgeting-adherence variable can be interpreted, and its PLS-SEM methodology illustrates one approach for modelling behavioural intention that could complement the machine-learning classification planned for this project.

8. Financial Education and Budgeting Behavior Among College Students: An Extended Theory of Planned Behavior Approach

ScienceDirect / University of Rhode Island Digital Commons (2022). Nationally representative survey via the Lucid platform, extended TPB model.

Using an extended Theory of Planned Behavior model, this study finds that budgeting intentions alone do not fully mediate the relationship between financial education and budgeting behaviour; instead, attitudes and subjective norms operate together with intentions in a serial mediation pathway. The authors recommend that universities strengthen financial-education curricula to shape students' budgeting attitudes directly — a policy implication that resonates with the age profile (predominantly late-teens/early-20s) of the respondents in the project's dataset.

9. Understanding Money-Management Behaviour and Its Potential Determinants Among Undergraduate Students: A Scoping Review

PMC (2024). Scoping review of 12 papers (10 distinct studies) drawn from 789 records.

This scoping review consolidates the undergraduate money-management literature into five behavioural categories — budgeting, saving, spending, borrowing, and debt settlement — and twenty-two potential psychological correlates grouped into six categories, including personality traits, financial knowledge, attitudes, and self-efficacy. Because the review explicitly maps behaviours onto correlates in a structure very similar to the dataset's feature set (budgeting status, saving motivation, spending tracking, comfort with financial products), it is one of the most directly transferable references for feature interpretation in this project's exploratory data analysis.

10. Factors and Determinants of Financial Behaviors That Undermine Financial Well-Being: A Qualitative Study

Journal of Consumer Affairs (2025), Morris et al. Qualitative interview-based study.

Using qualitative interviews, this study finds that financial attitudes toward budgeting, saving, and retirement planning are shaped by broader psychological dispositions such as apprehension and general financial mindset, extending beyond simple knowledge deficits. The authors argue, consistent with earlier work by Parrotta and Johnson, that attitude has a larger effect on behaviour change than knowledge alone — a finding that supports including attitudinal and confidence-related survey items (such as comfort with financial products and investment confidence) as predictors alongside purely behavioural ones.

11. Impact of Financial Literacy, Mental Budgeting and Self-Control on Financial Wellbeing: The Mediating Role of Investment Decision-Making

PMC (2023). PLS-SEM analysis of 449 Chinese university students.

This study models financial literacy, mental budgeting, and self-control as cognitive determinants of subjective financial well-being, using investment decision-making as a mediating variable, on a sample of 449 university students. All three cognitive factors were found to have a significant positive effect on well-being. The inclusion of investment decision-making as a mediator between budgeting/self-control and well-being provides a template for testing whether the dataset's investment-confidence variable similarly mediates outcomes tied to financial goal-setting.

4. Impulse Buying and Spending Behaviour

The survey item on the frequency of impulse purchases situates the dataset within a well-developed consumer-behaviour literature that links self-control, digital environments, and financial discipline to impulsive spending.

12. Online Antecedents for Young Consumers' Impulse Buying Behavior

ScienceDirect, Computers in Human Behavior (2023).

This study finds that low self-control predicts impulsive online buying largely through susceptibility to persuasive digital advertising and social-network influence, rather than acting as a direct standalone cause. The authors argue that building digital and financial literacy jointly is necessary to curb impulsive spending among young consumers, directly supporting an analytical approach that examines the survey's impulse-purchase item alongside financial-literacy proxies such as comfort with financial products.

13. Young Urban People's Impulsive Online Shopping Behavior and Its Financial Literacy

Cogent — Business & Management (2024). Quantitative survey of 500 youth digital-platform users.

Surveying 500 young urban digital-platform users, this paper maps the relationship between online shopping habits, lifestyle-driven consumerism, and financial literacy, finding that impulsive online purchasing frequently exceeds respondents' stated budgets. It highlights how compulsive and impulsive buying are conceptually distinct but empirically correlated, a distinction that is useful when interpreting the ordinal 'how often do you make impulse purchases' item in the project dataset.

14. Financial Behavior and Its Association with Impulsive Buying Behavior: An Empirical Analysis on Gen Z and Millennials

ResearchGate / RIGGS Journal of Artificial Intelligence and Digital Business (2025).

This quantitative study of Gen Z and Millennial respondents finds a statistically significant negative relationship between disciplined financial behaviour — including budgeting, saving consistency, and expense tracking — and impulsive spending. Respondents with weaker financial-management skills showed markedly higher impulsivity in digital shopping contexts. The variable set used (budgeting, saving, expense tracking, and impulse buying) closely mirrors the structure of the project's survey dataset, making this one of the most directly comparable studies for benchmarking the classification task.

15. Stimulation Values and Life Satisfaction Among Young People: The Role of Impulsive Buying and Financial Problems

Young Consumers: Insight and Ideas for Responsible Marketers, Emerald Publishing (2025).

This study links consumers' 'stimulation values' (a preference for novelty and excitement) to impulsive-buying tendencies and subsequent financial strain, finding a small but significant positive correlation between impulse-buying frequency and financial hardship. It extends the impulse-buying literature into the domain of subjective

well-being, suggesting that impulse-purchase frequency in the project dataset could plausibly correlate with respondents' broader financial-goal and confidence variables.

5. Investment Confidence and Decision-Making

The dataset's item on confidence in making investment decisions connects to a substantial behavioural-finance literature distinguishing financial knowledge from self-assessed confidence, and examining how each independently shapes investment behaviour.

16. The Role of Financial Literacy in Investment Decision-Making: A Review

ResearchGate (2025).

This review paper concludes that individuals with higher financial knowledge report greater confidence in making investment choices, while less knowledgeable individuals tend to avoid investment risk altogether. Notably, the review reports that a moderate degree of overconfidence, when combined with genuine financial knowledge, is associated with the best investment outcomes — implying that the confidence variable in the survey dataset should be interpreted jointly with, not as a substitute for, actual financial understanding.

17. The Roles of Financial Literacy and Overconfidence in Investment Decisions in Saudi Arabia

PMC (2022).

This study distinguishes two forms of overconfidence — overestimation of one's own ability and overplacement relative to others — and finds that both distort investment decision-making independently of actual financial literacy. It further reports that even highly knowledgeable groups, such as finance students and professional managers, remain prone to overconfidence, cautioning against treating the dataset's self-reported investment-confidence variable as a reliable proxy for financial competence.

18. Confidence, Financial Literacy and Investment in Risky Assets

Federal Reserve Board, Finance and Economics Discussion Series (2020).

Using the U.S. Survey of Consumer Finances, this study finds that self-assessed confidence in one's financial knowledge predicts investment behaviour above and beyond objectively measured financial literacy, particularly for the decision to hold risky assets. This distinction between measured knowledge and self-perceived confidence is directly relevant to the survey dataset, which captures only the latter (a subjective confidence rating) rather than an objective literacy test score.

6. Demographic Differences and Machine-Learning Approaches to Financial Behaviour

Finally, the dataset's demographic variables (age and gender) and its intended use for a machine-learning pipeline situate the project within two further literatures: gender-based financial-behaviour research and applied machine learning for behavioural prediction.

19. Financial Behavior Between Male and Female: A Systematic Literature Review

ResearchGate (2024).

This systematic review synthesises studies on gender-based behavioural biases in financial decision-making, reporting that women tend to be more regret-averse while men exhibit stronger self-attribution and overconfidence biases, though these differences shrink among individuals with high financial literacy. The review's finding that literacy narrows — but does not eliminate — the gender gap in financial behaviour

supports treating gender as an interaction variable rather than a purely additive predictor when modelling the survey dataset.

20. Financial Customer Behavior Prediction Based on Machine Learning: A Comprehensive Investigation

ResearchGate (2025).

This paper benchmarks multiple machine-learning algorithms — including K-Nearest Neighbours, Decision Tree, Gaussian Naive Bayes, Logistic Regression, and ensemble methods such as Random Forest, AdaBoost, and Gradient Boosting — on a financial-behaviour dataset, following a full pipeline of cleaning, transformation, and feature engineering. The comparative model set used here provides a practical starting benchmark for the exploratory data analysis and algorithm-comparison stage of this project, in which similar classical and ensemble classifiers can be trained on the survey's categorical financial-habit features.

7. Synthesis and Research Gap

Across the twenty studies reviewed, three consistent patterns emerge. First, financial literacy and financial confidence are related but empirically distinct constructs: literacy predicts more prudent budgeting, saving, and investment behaviour, while self-assessed confidence can diverge from actual knowledge and, when combined with only moderate literacy, can lead to riskier or less rational decisions. Second, behavioural outcomes such as budgeting adherence, saving, and impulse buying are consistently better explained by attitudinal and intention-based models (e.g., the Theory of Planned Behavior) than by demographic variables alone, although gender and age remain significant moderators of both behaviour and confidence. Third, while financial-literacy and behavioural-finance research is extensive, relatively few studies combine the full set of behavioural indicators used in the project's dataset — paycheck-handling habits, spending tracking, impulse-purchase frequency, windfall allocation, budgeting adherence, saving motivation, product comfort, goal-setting, and investment confidence — within a single instrument, and fewer still apply modern machine-learning classifiers to such a combined, self-reported behavioural dataset. Most of the machine-learning literature identified instead focuses on transactional or credit-risk data rather than attitudinal survey responses. This gap is precisely what the present project addresses: applying exploratory data analysis and novel machine-learning algorithms to a multi-dimensional, self-reported financial-habits survey, and benchmarking the results against the qualitative and quantitative findings reported in the twenty papers reviewed above.

8. Conclusion

The reviewed literature confirms that every major variable in the financial habits survey dataset — from paycheck allocation and expense tracking to budgeting, saving motivation, product comfort, goal-setting, and investment confidence — is grounded in an active and growing body of academic research spanning financial literacy, behavioural finance, consumer psychology, and applied machine learning. This review provides the theoretical and empirical foundation for the exploratory data analysis and machine-learning modelling to be carried out in the subsequent stage of this project, and offers a basis for comparing the project's own findings against those already established in the literature.

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